Aarti Drugs Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Mumbai maker of bulk drug ingredients (APIs) such as metformin for diabetes, antibiotics, painkillers and anti-fungals, sold to tablet makers in India and abroad. It also makes speciality chemicals, and its Pinnacle Life Science arm sells finished tablets, mostly for export.

Number	Value	What it means
Market cap	Rs 4,467 cr	What the market values the whole company at.
Q2 FY27 revenue (consolidated)	Rs 829 cr	Record quarterly sales, up 27%; mostly higher prices (up 16%) with volumes up 5%.
Q2 FY27 EBITDA margin	16.6%	Operating profit per Rs 100 of sales, the best in about six years and up from about 13% a year ago.
Q2 FY27 profit	Rs 83 cr	Net profit, up 83%.
ROCE	About 12%	Return on the money tied up in the business; middling, as new plants are still filling.
Stock P/E	About 24x	Moderate for a drug-ingredient maker.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY25	Oct/Nov 2024	Yes (key passages)
Q3 FY25	Feb 2025	Yes (key passages)
Q4 FY25	May 2025	Yes (key passages)
Q1 FY26	21 Jul 2025	Yes (key passages)
Q2 FY26	10 Nov 2025	Yes (key passages)
Q3 FY26	4 Feb 2026	Yes (key passages)
Q4 FY26	18 May 2026	Yes (key passages)
Q1 FY27	3 Aug 2026	Yes (key passages)
Q2 FY27	4 Nov 2026	Yes, read in full ★

Nine calls across two years, taken from the NSE filings.

Latest concall highlights: Q2 FY27 (call held 4 Nov 2026)

- Record revenue Rs 829 cr, up 27%. Prices up 16% as the West Asia crisis kept APIs tight; volumes up only 5%.
- EBITDA Rs 138 cr, margin 16.6%. Management calls about 15% sustainable for the company and is being conservative.
- Saykha methylamines plant ran at about 72% and now covers about 85% of the metformin intermediates it used to buy.
- Speciality chemicals up 92%; formulations up 58% on exports up 73%, with about four months of export orders in hand at roughly 28% margin.
- New capacity: Sarigam metformin up from 1,400 to 1,700 tonnes a month in early FY28, a 500-tonne US FDA block by end FY28, a second US FDA block at Tarapur by end FY29, and Baddi tablet capacity nearly doubling.
- Volume growth target for FY27 was about 10%; the first half managed 3-5%, so it's now 5-10%.

Business mix & capacity

Domestic vs export: Standalone revenue about 63% India, 37% export (Q4 FY26). Formulation sales are mostly export.

Capacity use: Saykha at about 72% use. Older API plants were underused in FY26 on weak antibiotic demand.

3. Earning Trigger thesis

Two things are lifting earnings: the Saykha plant now makes most of the metformin intermediates Aarti used to buy, and the tablet arm is winning export orders at fat margins. On top of that, API prices are high because of the West Asia crisis, and that part won't last. The next leg is US FDA capacity at Sarigam and Tarapur, which is two to three years out.

Trigger	What management said	Evidence so far	Time horizon	Strength
Saykha backward integration	Full captive supply for the diabetes range within 6-12 months	30% use in Q3 FY26, 72% now, 85% captive	Done	Strong
Formulation exports	Exports keep growing	Up 73% this quarter; four months of orders	Next 1-2 quarters	Moderate: order-driven
API prices	Prices firm on West Asia supply worries	Up 16% this quarter	Temporary	Weak: outside its control
US FDA capacity	Sarigam and Tarapur blocks	Under construction	FY28-FY29	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	
New business	Yes	Speciality chemicals up 92% on the Saykha plant; formulation exports up 73% (4 Nov 2026)
Margin up	Yes	EBITDA margin 16.6%, highest in about six years, on backward integration and prices (4 Nov 2026)
New management	No	
New capacity	Yes	Saykha at 72%; Sarigam metformin expansion early FY28 and new US FDA blocks (4 Nov 2026)
Big orders	Yes	About four months of pending export formulation orders (4 Nov 2026)
Turnaround	No	
Promoter buying	No	

The single concrete driver: The Saykha plant now supplies most of the metformin intermediates Aarti used to buy, and tablet exports are growing fast.

3c. Margin bridge

EBITDA margin is 16.6% against about 13% a year ago. The Saykha plant cut input costs, export tablet orders came at about 28% margin, and API prices rose. Management says the integration gains stay but guides about 15% as prices may ease. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2024	Margins improve by end FY25 on prices and exports	Q4 FY25 reached 14%, then fell back in Q3 FY26	Partly
Nov 2024	Salicylic acid ramps to 300+ tonnes a month	Teething issues; still being improved two years on	Missed
Nov 2025	Saykha fully captive within 6-12 months	72% use and 85% captive after about a year	Delivered
Feb 2026	Saykha at about 50% by March-April	Hit and passed	Delivered
May 2026	About 10% volume growth in FY27	First half 3-5%	Missed

Narrative drift: The story has been the same for two years: backward integration, regulated markets, margins back to the mid-teens. It kept saying margins would improve next quarter and FY26 disappointed. The Saykha plant did come through, and this quarter's jump is real but partly from prices.

5. Bottom line

Durable earning trigger? → YES

Saykha's cost saving and tablet exports are in the numbers now, though high API prices flatter this quarter.

Management consistent? → MAYBE

Saykha came in on schedule, but margin promises ran a year late and volume targets keep missing.

6. Checkpoints for next quarter

- EBITDA margin stays near the 15% guide
- Formulation exports hold after the current orders ship
- Sarigam metformin expansion stays on track for early FY28

This is not investment advice. Do your own due diligence.